

2026 M&A Final Practice (not the real final)

- Due No due date
- Points 100
- Questions 34
- Available after Jun 17 at 9:00
- Time Limit None
- Allowed Attempts Unlimited

Instructions

This is a PRACTICE question set. The purpose of this practice set is to get you familiar with the format of the final:

- Part 1: Multiple choice/Numerical questions
- Part 2: Problems

Part 2 Solution (problems) is attached here:

[final practice question set part 2 solution.pdf](#)
<https://mbseu.instructure.com/courses/4860/files/684788?wrap=1> ↓
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Attempt History

	Attempt	Time	Score
LATEST	Attempt 1	1,070 minutes	2 out of 100 *

* Some questions not yet marked

* Some questions not yet marked

Submitted Jun 24 at 16:24

Correct answer



Question 1

2 / 2 pts

You are tasked with valuing Waypoint Inc, which has a D/E of 0.3. You identify the following three comparable firms that have similar business nature as Waypoint:

Comparable Firms	D/E	<i>Unlevered</i> Beta
A-Cap Ltd	1	0.8
Zimi Ltd	1.5	1
APN Corp.	2	1.2

What should be the estimated (levered) equity beta of Waypoint Inc if you use the "pure-play" approach? Assume that all firms have a tax rate of 30%. Choose the closest answer.

- ☒ 1.210
- ☐ 0.486
- ☐ 0.588
- ☐ 1

Step 1: take the average unlevered beta.

$$\text{Average} = (0.8 + 1 + 1.2) / 3 = 1$$

Step 3: calculate the "relevered" beta for Waypoint:

$$\text{levered beta} = \text{unlevered beta from step 2} * (1 + D/E * (1 - T_c)) = 1 * (1 + 1 * (1 - 0.3)) = 1.210.$$

Unanswered



Question 2

0 / 2 pts

An acquirer plans to acquire a target firm with a mixed payment. You are given the following information:

- The acquirer currently has 50 million shares outstanding.
- The acquirer can issue new shares at \$20 per share.
- The target currently has 15 million shares outstanding.
- The final offer price paid to the target is estimated to be \$40 per share, 50% of which will be paid with stock.

What will be the exchange ratio?

- ☐ 0.25
- ☐ 1
- ☐ 0.5
- ☐ 2

Stock consideration per share = offer price per share x stock consideration % = \$40 x 0.5 =20

Exchange ratio = stock consideration per share/acquirer issuance price = \$20/\$20=1

Unanswered



Question 3

0 / 2 pts

Which one(s) of the following about M&A synergy is incorrect?

- I. Synergy cannot be zero or positive.
- II. Synergies will automatically materialize after the deal closes, even without post-merger integration.
- III. The maximum **total offer price** acceptable to the acquirer should equal the **total estimated merger gains** (including synergies and other M&A benefits). If the total offer price exceeds this amount, the acquirer's NPV from the deal will be negative.

- ☐ I, II, and III
- ☐ III only
- ☐ I and III only
- ☐ I and II only

III is an incorrect statement: the maximum total offer price acceptable to the acquirer should equal the **target's standalone equity value plus total estimated merger gains** (including synergies and other M&A benefits). If the offer price exceeds this amount, the acquirer's NPV from the deal will be negative.

Unanswered



Question 4

0 / 2 pts

Which one(s) of the following about M&A synergy is incorrect?

- I. Synergy cannot be zero or positive.
- II. Synergies will automatically materialize after the deal closes, even without post-merger

integration.

III. The maximum **total offer price** acceptable to the acquirer should equal the **target's standalone equity value plus total estimated merger gains** (including synergies and other M&A benefits). If the total offer price exceeds this amount, the acquirer's NPV from the deal will be negative.

- ☐ II only
- ☐ I and II only
- ☐ I, II, and III
- ☐ I only

III is a correct statement: The maximum total offer price acceptable to the acquirer should equal the **target's standalone equity value plus total estimated merger gains** (including synergies and other M&A benefits). If the offer price exceeds this amount, the acquirer's NPV from the deal will be negative.

Unanswered



Question 5

0 / 2 pts

You are given the following information regarding a target's standalone value information:

- WACC = 10%.
- FCFF one year from today ($FCFF_1$) \$1 million. After that, the FCFFs are expected to grow at a constant rate of 2% per year.

The target have zero non-controlling interests and zero non-operating assets. Currently, the target has 10 million shares outstanding, and its market value of debt is estimated to be \$2.5 million. What is the standalone share value of the target?

- ☐ \$12.5 per share
- ☐ \$5 per share
- ☐ \$1 per share
- ☐ \$1.25 per share

- Note: in order to calculate the target's standalone value V_B , we should use the target's WACC and cash flows.
- $V(\text{operating assets}) = FCFF_1 / (WACC - g) = 1 / (0.1 - 0.02) = \12.5
- Total firm value is the same as the value of operating assets since there are no non-operating assets.
- Total equity value = total firm value - debt = $\$12.5 - \$2.5 = \$10$ million.

- Share value = total equity value / shares outstanding = \$10 million / 10 million = \$1 per share.

Unanswered



Question 6

0 / 2 pts

An acquirer plans to pay an offer price of \$50 per share to buy 100% of a target company's equity. The target company currently has 10 million shares outstanding. The acquirer currently has 20 million shares outstanding, and each share is traded at \$100. Assume that the acquirer can issue new shares at its market price for stock consideration. After the M&A deal, the acquirer's shares outstanding will increase to 22 million due to the stock consideration. Therefore the exchange ratio in this M&A deal is _____.

- ☐ 5
- ☐ 1
- ☐ 0.4
- ☐ 0.2

Method 1:

Total offer price = offer price per share x target's shares outstanding = \$50 x 10 mln = \$500 mln.

Total stock consideration = total number of acquirer's shares paid x acquirer new share issuance price = (22 mln - 20 mln) x \$100 = \$200 mln.

Stock consideration per share = \$200 mln / target's shares outstanding = \$200 / 10 = \$20 per share.

Exchange ratio = stock consideration per share / acquirer issuance share price = \$20 / \$100 = 0.2.

Method 2:

The combined company has 22 million shares after the M&A, whereas the acquirer has 20 million shares before the M&A.

So, the new shares offered in the stock consideration = 22 - 20 = 2 million shares.

These 2 million shares are used to pay for the 10 million shares of the target. So, the exchange ratio must be 2/10=0.2.

Unanswered



Question 7

0 / 2 pts

A conglomerate firm decides to take one of its subsidiaries to Initial Public Offering (IPO) and the conglomerate firm will only sell a small proportion of equity ownership of the subsidiary in the IPO. This transaction is best described as a _____.

- ☐ carve-out
- ☐ divestiture
- ☐ spin-off
- ☐ horizontal merger

Unanswered



Question 8

0 / 2 pts

You are given the following information regarding the target of an M&A deal:

The target:

- WACC = 10%.
- FCFF one year from today ($FCFF_1$) \$1 million. After that, the FCFFs are expected to grow at a constant rate of 2% per year.

The target has zero non-controlling interests and zero non-operating assets.

The acquirer expects that after the merger, the estimated $FCFF_1$ of the target will be \$1.5 million due to some hard synergy. The constant growth rate of the target's FCFFs and the WACC remain the same.

Question: what is the value of this hard synergy?

- ☐ \$12.5 mln
- ☐ \$19.75 mln
- ☐ \$6.25 mln
- ☐ \$7.25 mln

Note there are two ways to calculate the value of synergy:

(1) $V_{AB} - (V_A + V_B)$, where V_{AB} is the combined firm value including synergy. V_A and V_B are the standalone values of the acquirer and the target, respectively.

(2) $V_B^* - V_B$, where V_B^* and V_B are the target's values with and without synergy, respectively.

Since we are given the info of V_B^* , we will use approach (2).

Step 1: V_B

- Note: in order to calculate the target's standalone value V_B , we should use the target's WACC and cash flows.
- $V_B = \text{FCCF}_1 / (\text{WACC} - g) = 1 / (0.1 - 0.02) = \12.5

Step 2: V_B^*

- $V_B^* = \text{FCCF}_1 / (\text{WACC} - g) = 1.5 / (0.1 - 0.02) = \18.75

Step 3: Synergy

- Synergy = $V_B^* - V_B = 18.75 - 12.5 = 6.25$

Unanswered



Question 9

0 / 2 pts

Max Efficiency Inc. considers XYZ Inc. as a potential takeover target. XYZ has three divisions: X Foods, Y Airlines, and Z Energy. Currently, XYZ's only liability is \$200 million (MV) of bank loans. XYZ Inc. has \$100 million of cash and cash equivalents and zero noncontrolling interests. Selected financial for the three divisions and the average multiple of the comparable firms for each division are in the table below.

Division	EBITDA (\$mln)	Average EV/EBITDA multiple of comparable firms
X Foods	\$100	8
Y Airlines	\$50	10
Z Energy	\$20	15

What should be the estimated market value of equity of XYZ using the "sum-of-parts" approach?

- ☐ \$1,400 mln
☐ \$1,600 mln
☐ \$1,500 mln
☐ \$1,700 mln

Step 1: Use the "sum-of-parts" approach to estimate XYZ's EV:

$$\text{EV} = \$100 * 8 + \$50 * 10 + \$20 * 15 = \$1,600 \text{ mln.}$$

Step 2: Estimate the market value of equity of XYZ:

$EV = \text{Debt} + \text{MKV of equity} + \text{Noncontrolling interest} - \text{Cash} * \text{Cash Equivalents}$

$1,600 = 200 + \text{MKV of equity} + 0 - 100$

MKV of equity = \$1,500 mln.

Unanswered



Question 10

0 / 2 pts

An acquirer plans to pay an offer price of \$50 per share to buy 100% of a target company's equity. The target company currently has 10 million shares outstanding. The acquirer currently has 20 million shares outstanding, and each share is traded at \$100. Assume that the acquirer can issue new shares at its market price for stock consideration. After the M&A deal, the acquirer's shares outstanding will increase to 22 million due to the stock consideration. Therefore the percentage of *cash* consideration in this M&A deal is _____.

- ☐ 100%
- ☐ 60%
- ☐ 40%
- ☐ 20%

Total offer price = offer price per share x target's shares outstanding = \$50 x 10 mln = \$500 mln.

Total stock consideration = total number of acquirer's shares paid x acquirer new share issuance price = (22 mln - 20 mln) x \$100 = \$200 mln.

Total cash consideration = total offer price - total stock consideration = \$500 - \$200 = \$300 mln.

% of cash consideration = \$300/\$500 = 60%.

Unanswered



Question 11

0 / 2 pts

Which one of the following is most likely to be an example of "synergy"?

- ☐ The acquirer boosts the target's value by sharing some R&D outcomes with the acquirer.
- ☐ The acquirer boosts the target's value by replacing the target's incompetent management.
- ☐ The acquirer boosts the target's value by breaking up an inefficient conglomerate target.
- ☐ The acquirer boosts the target's value by divesting the target's idling non-operating assets.

The key difference between synergy and other M&A benefits is that the former requires the integration or combination of two firms' operations, whereas the latter requires putting the target in better hands and/or changing the target's strategic decisions.

Unanswered



Question 12

0 / 2 pts

Which one of the following synergy sources should be defined as a "hard" synergy?

- ☐ Lower labour cost
- ☐ Revenue enhancement through cross-selling
- ☐ Greater unit sales price of the products due to the greater market share
- ☐ Revenue enhancement due to geographic expansion

Cost saving synergies are call hard synergy.

Unanswered



Question 13

0 / 2 pts

A private equity fund just acquired a target in a leveraged buyout transaction. The total offer price paid to the target is \$800 million, 70% of which were financed by debt and the rest financed with equity. The private equity fund expects that the target firm will go to IPO again in year 5 with an estimated market value of equity of \$1 billion. The private equity fund also expects that it will use all the FCFFs in year 1 to year 5 to pay the debt that was used to finance the LBO deal. By the end of year 5, the target should have no outstanding debt. What is the expected IRR of this private equity investment?

- ☐ 18.07%
- ☐ 21.90%
- ☐ 33.03%

☐ 38.59%

From the private equity investor's perspective, the initial investment is \$800 mln x (1-70%) = \$240 mln. In return, they receive \$1 bln or \$1,000 mln in year 5 because the debt will be fully paid off. During the 5 years, the private equity investors do not receive any cash since the near term FCFFs are used to pay off the debt.

So use IRR function to estimate the IRR of the following cash flows. The IRR is 33.03%.

Paste Clipboard Font Alignment Number									
B4 =IRR(B2:G2)									
	A	B	C	D	E	F	G	H	I
1	Year	0	1	2	3	4	5		
2	CF	-240	0	0	0	0	1000		
3									
4		33.03%							
5									
6									
7									

Unanswered



Question 14

0 / 2 pts

The acquirer believes that it can boost the sales of target firm's sales by cross-selling the target's products via the acquirer's marketing and sales channels in the international market. This value enhancement is best described as _____.

- ☐ Hard synergy
- ☐ Financial synergy
- ☐ Value of control
- ☐ Soft synergy

This is an example of "soft synergy": the synergies related to revenue enhancement. Note that synergies require the combination/integration of the firms' operations.

Unanswered



Question 15

0 / 2 pts

An acquirer plans to acquire a target firm. You are given the following information:

- The acquirer currently has 50 million shares outstanding.
- The acquirer can issue new shares at \$20 per share for stock consideration.
- The target currently has 15 million shares outstanding, and the target's share price is \$25 before the M&A announcement.
- The final offer price will be paid with a mix of stock consideration and cash consideration. For the cash consideration, each target share will receive \$10.
- The acquisition premium is 100%.

What is the exchange ratio?

- ☐ 2.5
- ☐ 0.4
- ☐ 0.5
- ☐ 2

Step 1: Stock consideration per share

- Offer price per share = $\$25 \times (1 + \text{acquisition premium \%}) = \50 .
- Cash consideration = \$10 per share.
- Stock consideration = $\$50 - \$10 = \$40$ per share.

Step 2: exchange ratio = offer price in stock consideration / acquirer issuance share price = $40/20 = 2$.

Unanswered



Question 16

0 / 2 pts

Which one of the following synergy sources should NOT be defined as a financial synergy?

- I. Lower cost of debt
- II. Lower material cost
- III. Improve supply chain efficiency
- IV. Revenue enhancement through cross-selling

- ☐ II and III only
- ☐ I and III only
- ☐ II, III and IV only
- ☐ I only

The lower cost of debt is an example of financial synergy.

II and III are hard synergies.

IV is soft synergy.

Unanswered



Question 17

0 / 2 pts

Which one of the following statements regarding valuation is correct?



If the acquirer is a privately held firm and its shareholders hold a undiversified portfolio, then we do not need to adjust for the target's unsystematic risk in valuation.



On average, private firms are valued at a discount from otherwise similar listed firms.



We completely ignore lease obligations in the valuation of the target firm.



On average, conglomerate firms' market values are higher than their "sum-of-parts" values.

Unanswered



Question 18

0 / 2 pts

Which one(s) of the following statements about M&A legal forms are correct?

I. In the context of M&A, target shareholder approval is required in Schemes of Arrangement.

II. Off-market takeover bids and Schemes of Arrangement are ways to acquire a listed Australian firm's stock.

III. In an Acquisition of Assets, the target firm will always cease to exist as a distinct legal entity after the M&A close date.



I, II, and III



I only



I and II only



II and III only



II only

Mergers and Consolidations are applicable to U.S. targets.

In Australia, off-market takeover bids and Schemes of Arrangement are ways to acquire a listed firm's stock.

In the Acquisition of Assets, the target firm could exist as a distinct legal entity after the M&A close date, since there is only transfer of assets in this type of M&A.

Unanswered



Question 19

0 / 2 pts

A conglomerate firm decides to make one of its subsidiaries an independent firm, and the existing shareholders of the conglomerate firm will receive shares in the newly independent subsidiary proportional to their existing ownership in the conglomerate firm. This transaction is best described as a _____.

- ☐ divestiture
- ☐ horizontal merger
- ☐ carve-out
- ☐ spin-off

Unanswered



Question 20

0 / 2 pts

Which of the following correctly completes this sentence: If only cash is used to finance an acquisition, then _____.

- ☐ the transaction is usually not taxable
- ☐ control of the acquiring firm will be affected since the target's shareholders will become shareholders of the acquirer after the M&A
- ☐ it is usually a worse signal of the deal quality than stock payment
- ☐ the target's shareholders will receive cash in exchange of the target's shares

Unanswered



Question 21

0 / 2 pts

An acquirer plans to pay an offer price of \$50 per share to buy a target firm, and the offer price will be paid with 60% stock consideration and 40% cash consideration. The current market share price of the acquirer is \$100, and assume that the acquirer can issue new shares at a 10% discount on the current market price in stock consideration. What should be the exchange ratio?

- ☐ 0.33

- ☐ 0.30
- ☐ 0.25
- ☐ 0.56

The acquirer can issue new share at $\$100 * (1-10\%) = \90 per share.

The offer price is \$50 per share: 60% or \$30 will be paid with the acquirer's stock.

To make up the \$30 of stock payment, the acquirer needs to pay $\$30/\90 or 0.33 share for each share of the target.

Unanswered



Question 22

0 / 2 pts

An acquirer decides to buy 100% of the outstanding equity of a target firm.

You are given the following information of the standalone equity values of the acquirer and the target (the same as pre-M&A market values):

- The acquirer:
 - Share value = \$4 per share
 - Shares outstanding = 100 mln
- The target:
 - Share value = \$1 per share
 - Shares outstanding = 200 mln

The total merger gains are estimated to be \$50 mln.

What should be the maximum total offer price paid to the target?

- ☐ \$200 mln
- ☐ \$250 mln
- ☐ \$450 mln
- ☐ \$400 mln

The minimum price paid to the target should be based on the target's standalone equity value:

$\$1 \times 200 \text{ mln} = \$200 \text{ mln}.$

The max price paid to the target should be based on the target's standalone equity value + merger gains
 $= \$200 \text{ mln} + \$50 \text{ mln} = \$250 \text{ mln}$.

Unanswered



Question 23

0 / 2 pts

An acquirer decides to buy 100% of the outstanding equity of a target firm with 100% cash consideration.

You are given the following information of the standalone equity values of the acquirer and the target (assumed to be the same as pre-M&A market values):

- The acquirer:
 - Share value = \$5 per share
 - Shares outstanding = 100 mln
- The target:
 - Share value = \$1 per share
 - Shares outstanding = 200 mln

The total merger gains are estimated to be \$80 mln.

What should be the maximum offer price per share paid to the target?

- ☐ \$1 per share
- ☐ \$1.25 per share
- ☐ \$2 per share
- ☐ \$1.4 per share

The minimum price paid to the target should be based on the target's standalone equity value:

$\$1 \times 200 \text{ mln} = \200 mln .

The max price paid to the target should be based on the target's standalone equity value + merger gains
 $= \$200 \text{ mln} + \$80 \text{ mln} = \$280 \text{ mln}$.

The max price per share paid to the target = $\$280 \text{ mln} / \text{the target's shares outstanding} = \$280 / 20 \text{ mln} = \$1.4 \text{ per share}$.

Unanswered



Question 24

0 / 2 pts

An acquirer plans to acquire a target firm with a mixed payment. You are given the following information:

- The acquirer currently has 50 million shares outstanding before M&A.
- The acquirer can issue new shares at \$20 per share.
- The final offer price paid to the target is estimated to be \$40 per share, part of which is paid with stock consideration.
- The exchange ratio is 0.8.

What will be the proportion of cash consideration?

- ☐ 60%
- ☐ 0
- ☐ 40%
- ☐ 100%

Stock consideration per share = exchange ratio x the acquirer issuance price = $0.8 \times 20 = \$16$.

Proportion of stock consideration = stock consideration per share / offer price per share = $\$16 / \$40 = 40\%$

Proportion of cash consideration = $1 - 40\% = 60\%$.

Unanswered



Question 25

0 / 2 pts

Which one(s) of the following about M&A synergy is incorrect?

- I. Synergy cannot be zero or positive.
- II. Synergies will automatically materialize after the deal closes, even without post-merger integration.

III. The maximum **total acquisition premium** acceptable to the acquirer should equal the **total estimated merger gains** (including synergies and other M&A benefits). If the total acquisition premium exceeds this amount, the acquirer's NPV from the deal will be negative.

- ☐ III only
- ☐ I, II, and III
- ☐ I only
- ☐ I and II only

III is a correct statement:

The maximum **total acquisition premium** acceptable to the acquirer should equal the **total estimated merger gains** (including synergies and other M&A benefits). If the total acquisition premium exceeds this amount, the acquirer's NPV from the deal will be negative.

The maximum **total offer price** acceptable to the acquirer should equal **the target's standalone equity value plus total estimated merger gains** (including synergies and other M&A benefits). If the offer price exceeds this amount, the acquirer's NPV from the deal will be negative.

Unanswered



Question 26

0 / 2 pts

Which one(s) of the following statements is/are incorrect?

- I. The platform/place that stores the material required for due diligence is called a "Data Room".
- II. When an earn-out is used as the payment method, the target shareholders will receive the full offer price immediately after the M&A close date.
- III. Recent high turnovers of the top management of the target firm could be a sign of hidden issues in the target firm.
- IV. The acquirer firm and its advisor(s) never needs to perform due diligence in an M&A.

- ☐ II and III only
- ☐ II and IV only

- ☐ IV only
- ☐ II, III, and IV only
- ☐ None of the statements is incorrect.

Unanswered



Question 27

0 / 2 pts

An acquirer decides to buy 100% of the outstanding equity of a target firm.

You are given the following information of the standalone equity values of the acquirer and the target (the same as pre-M&A market values) :

- The acquirer:
 - Share value = \$4 per share
 - Shares outstanding = 100 mln
- The target:
 - Share value = \$1 per share
 - Shares outstanding = 200 mln

The total merger gains are estimated to be \$50 mln.

What should be the maximum offer price per share paid to the target?

- ☐ \$1.5 per share
- ☐ \$4 per share
- ☐ \$1 per share
- ☐ \$1.25 per share

The minimum price paid to the target should be based on the target's standalone equity value:

$\$1 \times 200 \text{ mln} = \$200 \text{ mln}.$

The max price paid to the target should be based on the target's standalone equity value + merger gains
 $= \$200 \text{ mln} + \$50 \text{ mln} = \$250 \text{ mln}.$

The max price per share paid to the target = $\$250 \text{ mln} / \text{the target's shares outstanding} = \$250 / 20 \text{ mln} = \$1.25 \text{ per share}.$

Unanswered



Question 28

0 / 2 pts

_____ refers to a rights offering plan that gives existing target shareholders the right to buy shares in either the target or the acquirer at a deep discount if a potential acquirer buys shares in excess of a threshold without prior board approval.

- ☐ A Staggered Board
- ☐ A Standstill Agreement
- ☐ A Golden Parachute
- ☐ A Poison Pill

Unanswered



Question 29

0 / 2 pts

The target firm in an M&A deal has some idling non-operating assets. The acquirer believes that it can boost the target firm's value after the M&A by divesting some of the target's non-operating assets. This value enhancement is best described as _____.

- ☐ Value of control
- ☐ Financial synergy
- ☐ Hard synergy
- ☐ Soft synergy

This is an example of "value of control": the value enhancement or merger gains achieved by put the target's assets in better hands. Value of control does not require the combination/integration of the firms' operations.

Unanswered



Question 30

0 / 2 pts

An acquirer will buy the target with a mix of cash consideration and stock consideration. Specifically, the acquirer will pay \$30 plus 2 shares of the acquirer to buy one share of the target. For the stock consideration, the acquirer can issue new shares at \$15 per share. The

target firm's share price before the M&A announcement is \$50. What is the acquisition premium (%)?

- ☐ 5%
- ☐ 15%
- ☐ 10%
- ☐ 20%
- ☐ 30%

Cash consideration per share = \$30.

Stock consideration per share = exchange ratio x the acquirer's new share issuance price

=2 x \$15 = 30.

Offer price per share = \$30 + \$30 = \$60.

Acquisition premium (%) = (offer price - target share price before M&A) / target share price before M&A = (60-50)/50=20%.

Unanswered



Question 31

Not yet marked / 8 pts

Masson Corporation is evaluating the opportunity to acquire 100% Chancery Inc.'s equity. You are given the following information:

	Masson Corporation (Acquirer)	Chancery Inc. (Target)
Shares outstanding	20 million	50 million
Standalone share value before the M&A (same as the pre-M&A market value per share)	\$25 per share	\$5 per share
Total market value of outstanding bonds before the M&A	\$100 million	\$100 million

Both the acquirer and the target have no other liabilities other than the bonds listed above. The acquirer can issue new shares at \$24 per share in stock consideration.

The management of Masson Corporation further estimates that the combined total firm value including merger gains will be \$1,050 million.

- A) What is the NPV of the M&A deal from the acquirer's perspective if the final offer price is \$8 per share paid with full cash?
- B) What should the maximum total offer price acceptable to the acquirer be?
- C) If the acquirer decides to pay the maximum offer price with 100% stock consideration, what should be the exchange ratio?

Your Answer:

Unanswered



Question 32

Not yet marked / 8 pts

You are provided with Nexus Innovations's historical income statement and balance sheet for the year 0 (assume today is the year 0 end), as well as its Pro-forma financial statements for the year 1:

Income Statement (year 0 and year 0, in thousand dollars)		
Year	Actual Year 0	Pro Forma Year 1
Sales	\$97,194	\$113,557
Cost of Goods Sold		
Direct Material	(\$20,532)	(\$23,752)
Direct Labour	(\$23,784)	(\$28,333)
Gross Profit	\$52,878	\$61,472
Sales and Marketing	(\$16,037)	(\$20,440)
Administrative	(\$14,579)	(\$17,034)
EBITDA	\$22,262	\$23,999
Depreciation	(\$5,995)	(\$5,946)
EBIT	\$16,267	\$18,053
Net Interest Expenses	(\$6,600)	(\$6,600)
EBT	\$9,667	\$11,453
Income Tax (30%)	(\$2,900)	(\$3,436)
Net Income	\$6,767	\$8,017

Balance Sheet (year 0 and year 1, in thousand dollars)		
Year	Actual Year 0	Pro Forma Year 1
Assets		
Operating Cash	\$15,000	\$15,000
Accounts Receivable	\$8,966	\$13,001
<u>Inventories</u>	<u>\$7,151</u>	<u>\$8,374</u>
Total Current Assets	\$31,117	\$36,375
<u>Property, Plant, & Equipment</u>	<u>\$139,565</u>	<u>\$136,565</u>
Total Assets	\$170,682	\$172,940
Liabilities		
Account Payable	\$6,085	\$7,313
Long-term Debt	\$110,000	\$110,000
Total Liabilities	\$116,085	\$117,313
Shareholder's Equity		
Total Shareholders' Equity	\$54,597	\$55,627
Total Liabilities and Equity	\$170,682	\$172,940

The expected capital expenditure in year 1 is \$3946 (in thousand dollars). Nexus Innovations has a constant market-based D/E ratio of 0.5, a corporate tax rate of 30%, and a pre-tax cost of debt of 5%. The risk-free rate is 3%. The expected market risk premium is 6%. Nexus Innovations's unlevered beta is 0.5.

A) What is the firm's WACC?

B) What is the firm's FCFF in year 1?

C) What is the standalone value of the firm's standalone equity value as of the year 0 end? It is expected that the FCFF will grow at a constant rate of 2.5% from year 1. Also, assume that the company does not have any non-operating assets and that the market value of the company's debt is the same as its book value.

Your Answer:

Unanswered



Question 33

Not yet marked / 10 pts

Your company plans to acquire 100% of Harrison & Sons Manufacturing's equity.

You are given the following forecasts of the target firm when merger gains are excluded:

- The FCFF one year from today ($FCFF_1$) will be \$5 million.
- The FCFF will grow at a constant rate of 3% per year perpetually.
- The target's unlevered beta is 0.6.
- The target's cost of debt is 5%.
- The target will main a D/E ratio of 0.5 if not acquired.

You are also given the following forecasts of the target firm when merger gains are included:

- The FCFF one year from today ($FCFF_1$) will be \$5 million.

- The FCFF will grow at a constant rate of 3.5% per year perpetually due to some soft synergy.
- Due to some financial synergy, the acquirer's cost of debt is 4% and will maintain a D/E of 1 after the M&A.

The risk-free rate is 3%. The market risk premium is 6%. The corporate tax rate is 30%. The target firm has zero non-controlling interests and zero non-operating assets. What is the total value of all these merger gains?

Your Answer:

Unanswered



Question 34

Not yet marked / 14 pts

You are provided the following information with regard to a private target company's standalone value:

- The free cash flow one year from today ($FCFF_1$) will be \$6 million.
- The FCFF will grow at a constant rate of 3% per year perpetually.
- The target company is currently unlevered.

You find three listed companies that have a similar business nature to the private company that you are valuing. You run regressions to estimate the equity beta of the three comparable companies and get the following information:

Comparable companies	Equity Beta	D/E
Integral Dynamics Corporation	1.08	0.5
Spectrum Global Enterprises	1.092	0.8
Foundation Capital Partners	1.02	1.0

The risk-free rate is 3%. The market risk premium is 6%. The corporate tax rate is 30%. The target firm has zero non-controlling interests and zero non-operating assets. Once the M&A is completed, the acquirer will keep a D/E ratio of 1 and have a cost of debt of 5%. The M&A

deal has no impact on the FCFFs and the perceptual growth rate. What is the NPV of the M&A deal if the acquirer pays a total acquisition premium of \$10 million? Ignore the private company discount.

Your Answer: